Is hedge fund activism good for shareholders?

Week 8: Mergers, MBOs & other Corporate Reorganizations

Professor Julian Franks

I wish to thank Georgeson for use of their slides on ESG

Outline of my talk

- What makes activists different from other asset managers
- Planning an engagement
- Some engagements
- How does the market react to an activist stake?
- How do outcomes affect performance (alpha)?
- How should companies prepare for an activist shareholder?

Engagements by different asset managers

- Hedge fund activists: Investment is motivated by engaging management to undertake significant change. Sell stake when aims achieved
- Active asset managers e.g. stock picking by mutual funds: engagement is subordinate to investment. Less intense than hedge funds. Governance & Stewardship (G&S) team and fund managers engage separately & with different agendas. Use voice & exit.
- Passive (index) funds: no stock picking, no fund managers. Engagement only by G&S team. Voice only (no exit).

What's different about Hedge Fund Activists?

	Passive Manager	Active Manager	Activist Hedge Fund
Example	BlackRock,AMOne Vanguard	Fidelity, SLA	Cevian, Elliott
Stakes held	Typically 1000s	Typically 100s	Typically <15
"Voice"	Yes	Yes	Yes
"Exit"	No exit except for external factors	Internal decision	Internal decision
Engagement focus	"Care and maintenance"; hold directors to account	"Care and maintenance"; hold directors to account; gather information for investment decisions	Bring about strategic change
Selling	Determined by index rules; **cannot** sell when dissatisfied with management	Determined by fund managers; **can** sell when dissatisfied with management	Determined by engagement success

Planning an engagement

- Plan to unlock value

  sale to strategic buyer or Private Equity

  cost reductions

  spin-offs
- How to engage

  Private negotiations (keep stake below regulatory threshold)

  Co-ordinate with other shareholders for negotiated settlement

  Public campaign

  Proxy contest/Extraordinary General Meeting
- Why the need for change

  Share price underperformance, strategic failures, poor profitability, entrenched boards

Example: Elliott Partners buys a stake in Whitbread

- Initial stake of 2.9%. Why? Disclosure threshold 3%. Intended to be a private engagement- no public disclosure.
- Aim: force management to split 2 divisions, Costa Coffee & Premier Inn.
- Elliott went public (April 2018) with a stake of 6%. when no agreement reached. Drove share price up by 7%. Approached other investors for support.
- Whitbread announced intention to demerge April 25. Sold Costa Coffee to Coca Cola for about £4 billion. July 2019 Elliott reduced its stake.

Targets by activists

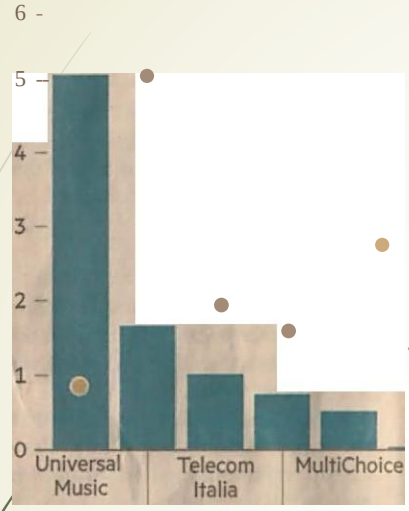
- Large activist: target large (liquid) under performing listed companies.
- FT 18 Nov 2025: "Depressed UK valuations offer rich pickings for activist investors"
- 'The demise of a conglomerate is a victory for activist investor' 'Honeywell splits itself into 3 businesses': aerospace, automation & advanced material FT feb 7, 25)
- 'Cage rattler Elliott may spy big value in a smaller BP'. Elliott 5% stake.
- Cevian Capital, stake of 12% in Pearson: 'several of their businesses have yet to deliver on their full potential'. Listing move from London to NY
- Ananym Capital launched activist campaign against Siemens Energy. Agitated for splitting Wind business from Gas Turbine & Grid power
- Common denominator: well researched target, good due diligence.

Vivendi: applying conglomerate discount

The media conglomerate has traded at a growing discount to underlying value in recent years. Vivendi may now split off its largest businesses, Canal+ and Havas. An investment company would be left, holding stakes in record label Universal Music and publisher Lagardere.

VJvendrs listed holdings

Market value ($bn) • • %of shares owned



Lagardere FL Entertainment Promotora de Infon'19Clones

FT gqphic Source: s&PCap11al10

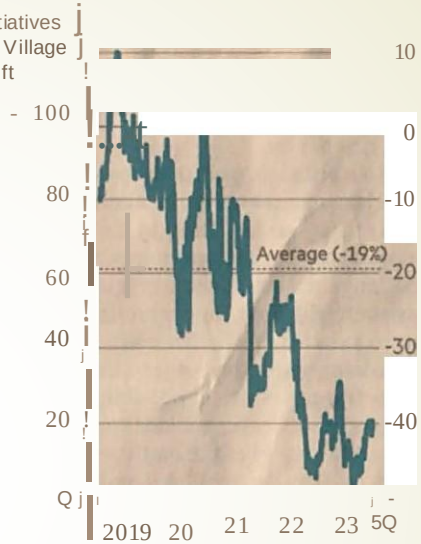
Sales and earnings

By division <%of total)

Sourcr: S&P capital JO

Conglomerate discount

Per cent



Saurce: Batdays

If Vivendi today were the Rolling Stones then Miele Jagger would have already left the band. Universal Music was the frontman of the French media ex>nglomerate that is controlled by French tycoon Vincent Bollore.

'Ibe record label - home to 'Their Satanic Majesties among others - was spunoff in 2021 for €47bn. '11:terestof the group took it hard. Fans have abandoned Vivendi's shares and the ex>aglomerate discount is now closeto 40per cent. The Bollore family was spurred to act. A fuller break-up ofdie baldness should follow.

The proposal would mean n o stodc market careers for broad r Cana)+ and a d agency Havas. remaining Bollore interests, su staJia in publisher Lagardere • in '&lecom Italia, would continue within a E ed holding company.

A simple sum of the parts .suggests break-up of the group, worth bn before news broke, would be an easy finandal win. Longer-term strategic goals should be simpler for solo acts to achieve.

Vivendi remains influential in the franco phone world. '11:tat linkage has helped canal+ to resist US streaming services such as Netfllx in recent years, and it has integrated streaming servrces into its own offering. Profits have grown solidly since 2016.

If we value Canal+ at six times ebitda like UK broadcaster J'.IV, it \\Ould have an enterprise value of €5bn. Supposing Hav'<ts is worth a multiple of seven times, like peers Publicis and Interpublic, it would be worth almost Obn. The final gain for shareholders depends on the discount that would apply to the investment holding company. If it stays at 40 per cent then a further 5 per cent bump for the sum of the parts might follow a break-up. A 30 per cent discount might be fairer, says Barclays. and closer to comparable peers.

It would give credit for the success of Universal. Additional returns would then move above one-tenth for the split. Operationally, the break-up wou d pose puzzles, such as divlding up Vivendi's 0 .9bn cash pUe.

The break-up would deliver value. Investors could meanwhile expect the Bollore family to continue calling the tune.

Top Activists of 2024

Elliott remained the most active activist in 2024, joined by a diverse array of APAC activists and others

Rank	Activist	2024 Campaigns Launched					2024 Target Companies
		Q1	Q2	Q3	Q4	Total	
1	ELLIOTT	4	7	1	2	14	Anglo American, Honeywell, ING, Match Group, 三井不動産, SoftBank, Starbucks, Texas Instruments, Tokyo Gas, Etsy, Johnson Controls, Sensata, Southwest, Sumitomo Corporation, The Scottish Investment Trust
2	Strategic Capital 株式会社 ストラテジックキャピタル	0	7	0	2	9	BX, Keihanshin Building Co., Ltd., Nippon Steel, Wakita, GungHo, Kyokuto, Nissan Shatai, Yodogawa Steel Works, Ltd.
3	Starboard Value	1	1	2	4	8	alight, Healthcare Realty, ING, Match Group, IOT, Autodesk, Kenvue, Pfizer, Starbucks
4	OASIS	3	4	0	1	8	Kao, Kokuyo, Taisho Pharmaceutical, greencore, Kobayashi, NEC, Teijin
5	Irenic Capital Management	1	1	3	2	7	Barnes, Forward, Kinaxis, Reservoir, Equity Commonwealth, KBR, News Corp
6	Dalton Investments	1	5	0	0	6	Fujisankei Communications Group, House, Toda, Toda Corporation, Glico, Rinnai
7	JANA	0	3	0	2	5	Lamb Weston, QuidelOrtho, Wolfspeed, Markel Group, Rapid7
8	Murakami Funds	0	1	2	2	5	Aichi Steel, Keikyu, Piolax, Exedy, Keisei 京成電鉄
9	LANDandBUILDINGS	2	2	0	0	4	Equity Commonwealth, SmartRent, NHI, Sun
10[1]	Gatemore	0	1	0	2	3	Elementis, YouGov, The Watches of Switzerland Group
	Top 10 Total					***69***	***28% of all 2024 campaigns***

Most prolific activist(s) in respective quarter

Source: Bloomberg, FactSet, Diligent Market Intelligence, 13D Monitor, press reports and publicly available data and sources. Market data as of 12/31/2024.

Note: All data is for campaigns conducted globally by activists at companies with market capitalizations greater than $500 million at time of campaign announcement; select campaigns with market capitalizations less than $500 million due to depressed valuation at the time of campaign announcement (company was larger than $500mm in prior twelve months).

Tie for tenth-most active activist including Anson Funds, Barington Capital, Bluebell Capital Partners, Buckley Capital Partners, Curi RMB Capital, Engaged Capital, Engine Capital, Icahn Associates, Palliser Capital and Sachem Head.

Some Significant Environmental & Social Campaigns

Activist Follow this **Target** bp

Meeting Date
12 May 2021

Resolution 13
Approve Shareholder Resolution on Climate Change Targets

Notable Supporters[1]
AB[2], The Illinois Funds

20.6% FOR

Activist Follow this **Target**

Meeting Date
18 May 2021

Resolution 21
Request to Set and Publish Targets for Greenhouse Gas (GHG) Emissions

Notable Supporters[1]
BMO, Calvert, Legal & General Investment Management

30.5% FOR

Activist ENGINE NO.1 **Target** ExxonMobil

Meeting Date
26 May 2021

Resolutions 1.1 – 1.4 (Dissident)
Elect a four-person slate of directors to the Board

Notable Supporters[1]
Vanguard, BlackRock

3 / 4 Elected

Activist Follow this **Target** Chevron

Meeting Date
26 May 2021

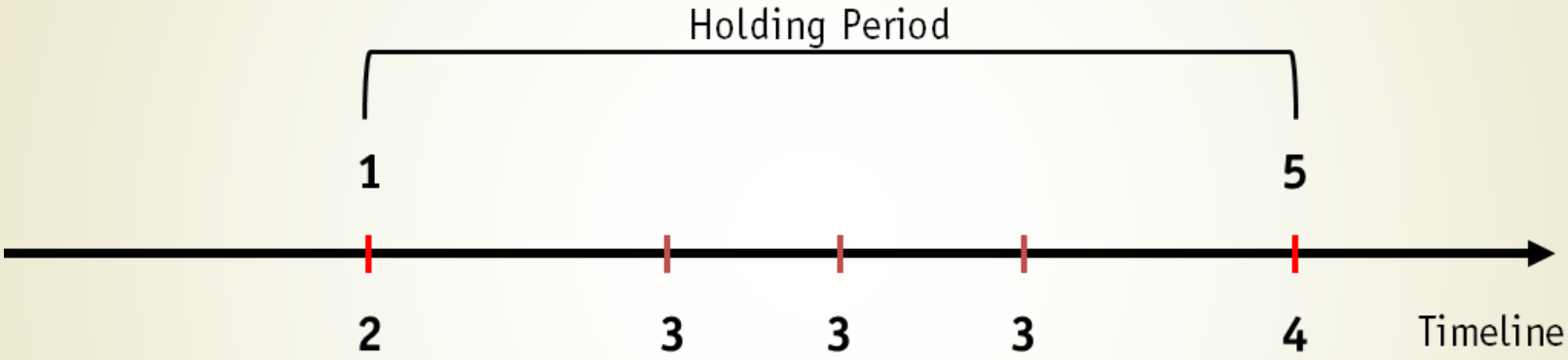
Resolution 4
Reduce Scope 3 Emissions

Notable Supporters[1]
Allianz Global Investors, apg, Norges Bank Investment Management

60.7% FOR

1 Publicly disclosed by 04 June 2021
2 Split vote

Typical timeline of an activist engagement



1: Engagement assumed to start
2: Block disclosure (regulatory or voluntary)
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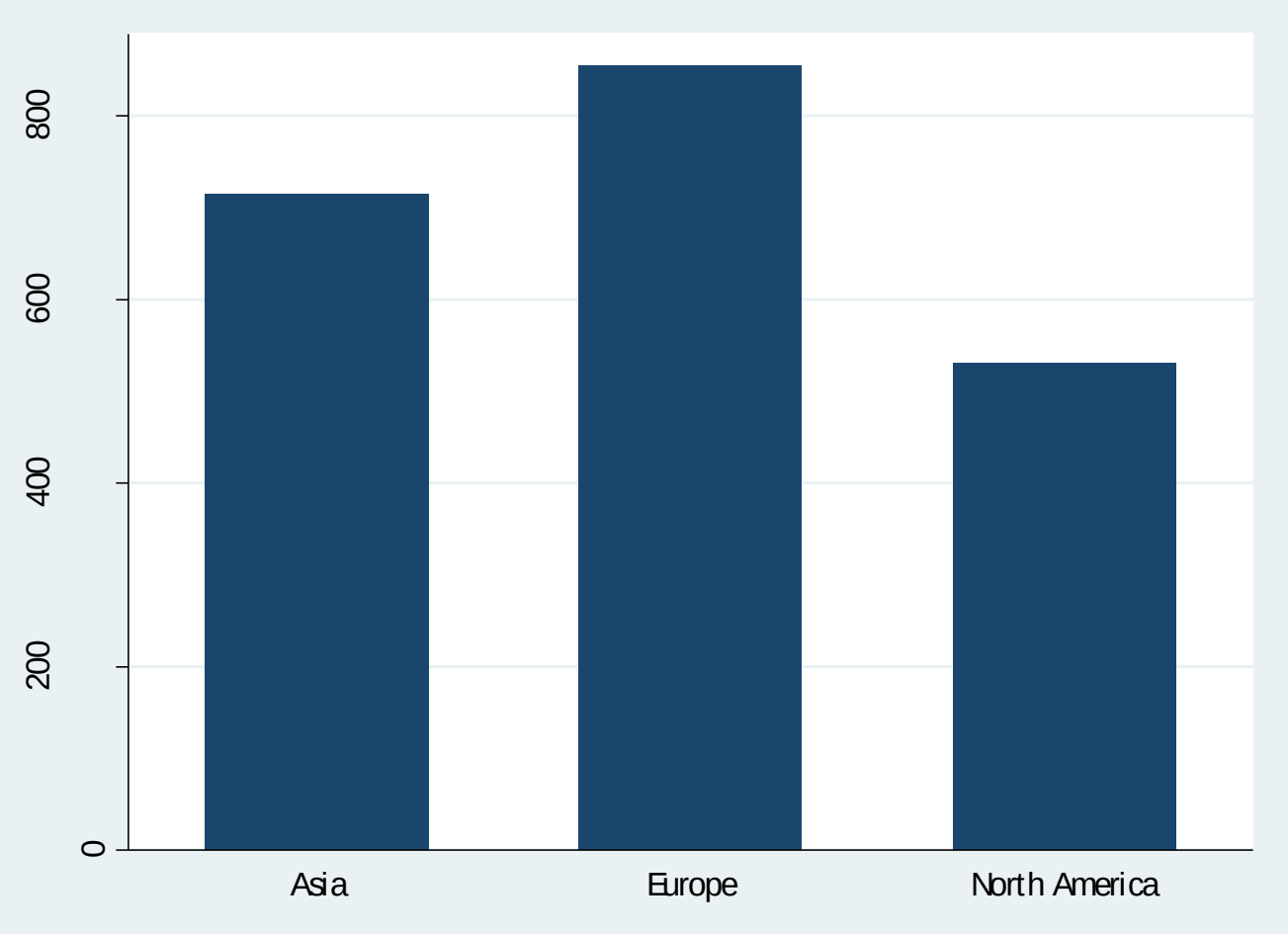
Average engagement period: entry to exit, in days but substantial variation



Activist campaigns displace takeovers: comparison of takeovers and activist engagements (per 1,000 listed firms)

Region/Country	Total number of activist engagements	Activist engagements per year (avg)	Unsolicited bids per year (avg)	Activist engagements per 1,000 listed firms	Unsolicited bids per 1,000 listed firms
Region	214	19.5	2.8	3.2	0.5
Asia					
Europe	381	34.6	20.5	3.4	2.1
North America	1145	104.1	40.1	11.7	4.6
Countries with at least 5 activist engagements during sample period					
U.S.	1125	102.3	31.4	**19.6**	5.8
Italy	42	3.8	0.5	**13.3**	1.6
Luxembourg	5	0.5	0.2	**12.4**	5.3
Netherlands	22	2	1.2	**11.6**	7.4
Germany	53	4.8	0.7	**7.3**	1.1
Switzerland	19	1.7	1.3	**6.6**	4.9
U.K.	165	15	9.9	**6**	4.1
Japan	184	16.7	2.5	**4.9**	0.7
Sweden	15	1.4	1.2	**4.8**	4
Belgium	9	0.8	0.3	**4.6**	1.2
Norway	7	0.6	0.9	3.6	4.8
France	27	2.5	1	**3**	1.2
South Korea	23	2.1	0.2	**1.2**	0.1
Hong Kong	7	0.6	0.2	**0.6**	0.2
Canada	20	1.8	8.7	0.6	3.3
Spain	5	0.5	1.5	0.2	0.6

- Activism more frequent than hostile takeovers in majority of sample countries.

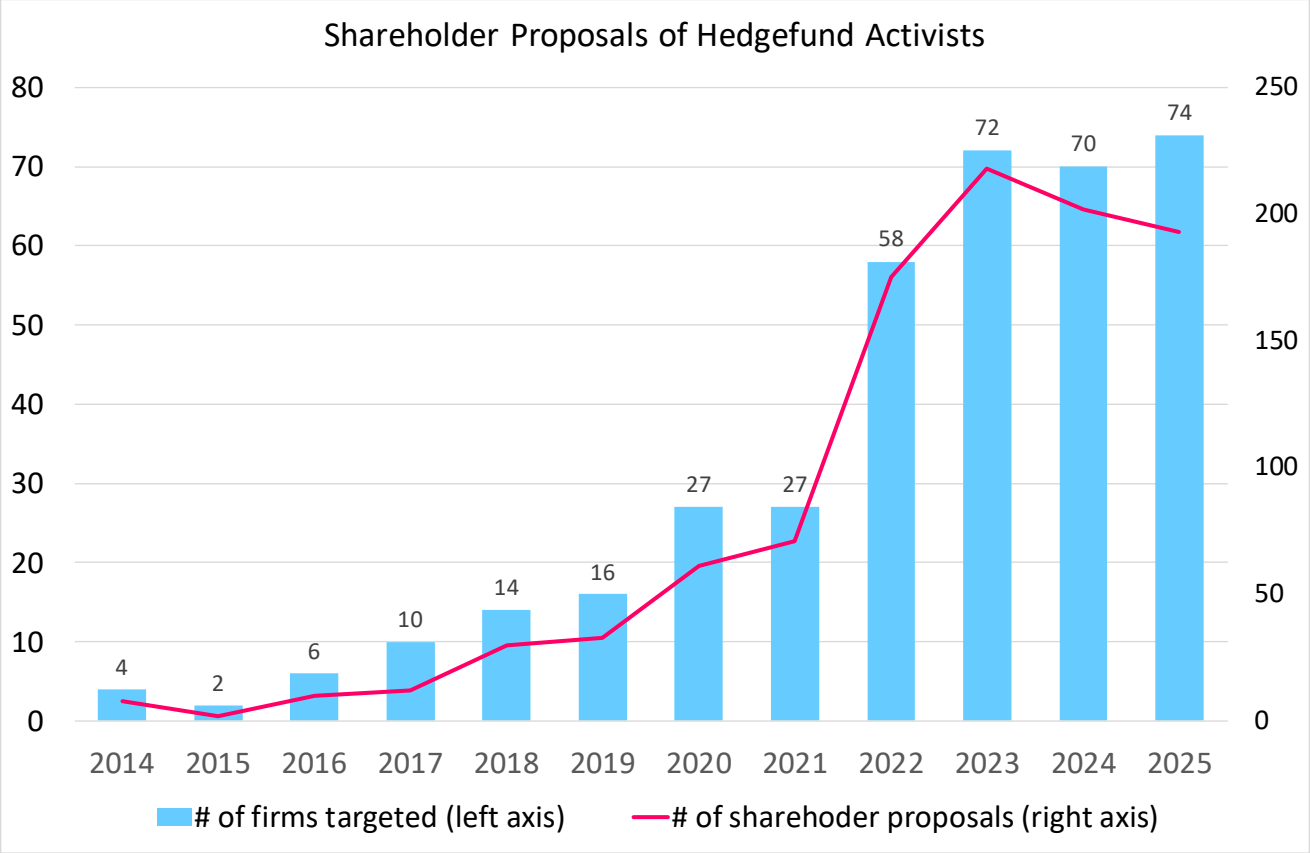
Activism in Italy

- Italy is an active country for shareholder activism.
  - Why? Perception of a large supply of companies with relatively weak governance
- Financial Crisis 2007/2008 effects
  - Weakened controlling shareholders, cross holdings; some families reduced holdings; increasing presence of foreign investors 20 % for largest 100 firms
- Telecom Italia engagement by Elliott (Vivendi had 23.9% stake)
  - Elliott succeeded in voting in independent board using proxy fight
- 'For things to remain the same, everything must change' (Di Lampedusa, The Leopard)

A Japanese activism case: Toshiba

- Effissimo Capital Management owns 9.9%. Voted against election of President Kurumatani in 2020. Reappointed by only 58%. In 2021, AGM voted for an investigation into voting irregularities. Critical of Toshiba.
- CVC Capital partners, UK investment fund, made a $20 billion buyout for Toshiba to take it private
- Elliott purchased a stake in 2017, increased it to just under 5%, invited to nominate non exec director to the board, 2022.
- FT, Jan 2023: "Toshiba saga promises clues to private equity's hopes in Japan: company's management is still keen to get a deal done with a consortium led by domestic buyout fund, Japan Industrial Partners, granted preferred bidder status in October".
- In 2023 Toshiba shareholders voted to take it private: bid by a Japanese consortium for $13.4 bln

Hedgefund Activists in Japan

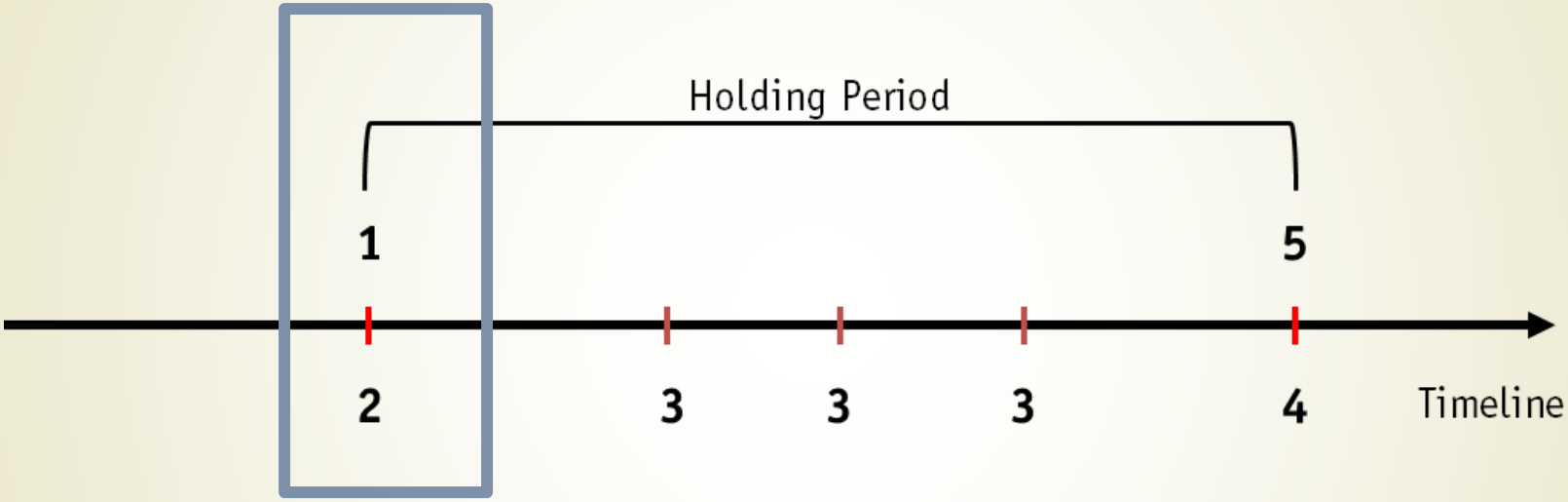


Source: IR Japan Co. (2025)

Shareholder activism in China

- 23 cases in 2023 (only 3 cases in 2007)
- Success rate 57% and similar across private companies and SOEs
- Some activists are state controlled companies: shareholder activism regarded as an important force to improve governance
- One campaign led by private anonymous online investor ('legend of the Red Scarf') forced an SOE to pay a generous dividend after 10 years of zero payout.
- See Zhou Zhang & Puchniak 'The overlooked reality of shareholder activism in China, 2024.

Performance: measure share price reaction to announcement of stake.



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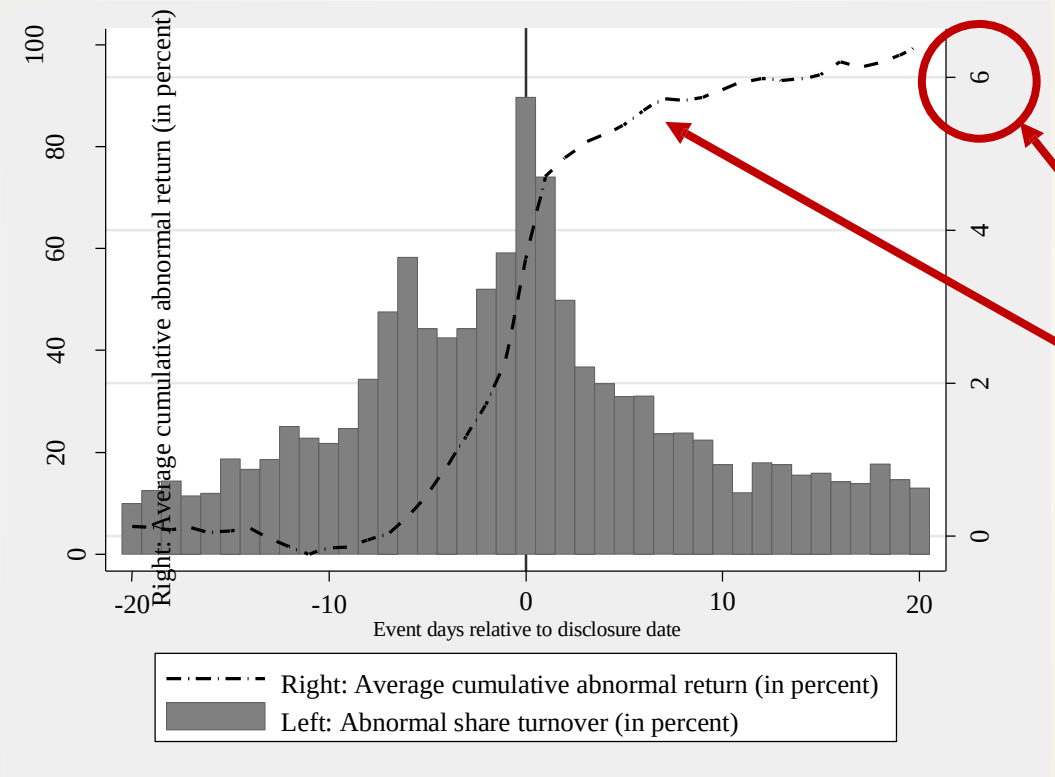
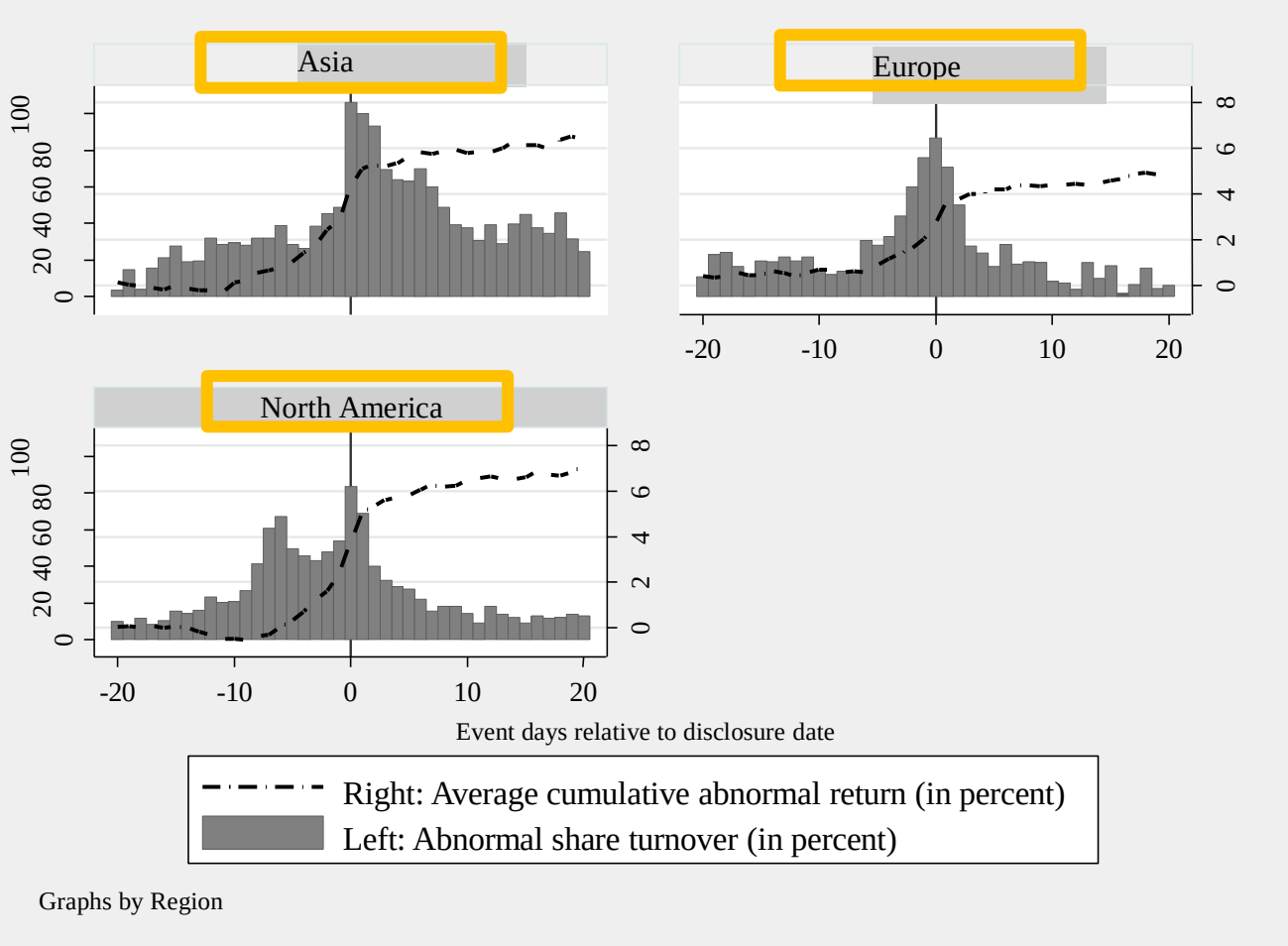
Abnormal returns from activist engagement announcements



Abnormal return of roughly 6% around the initial activist announcement

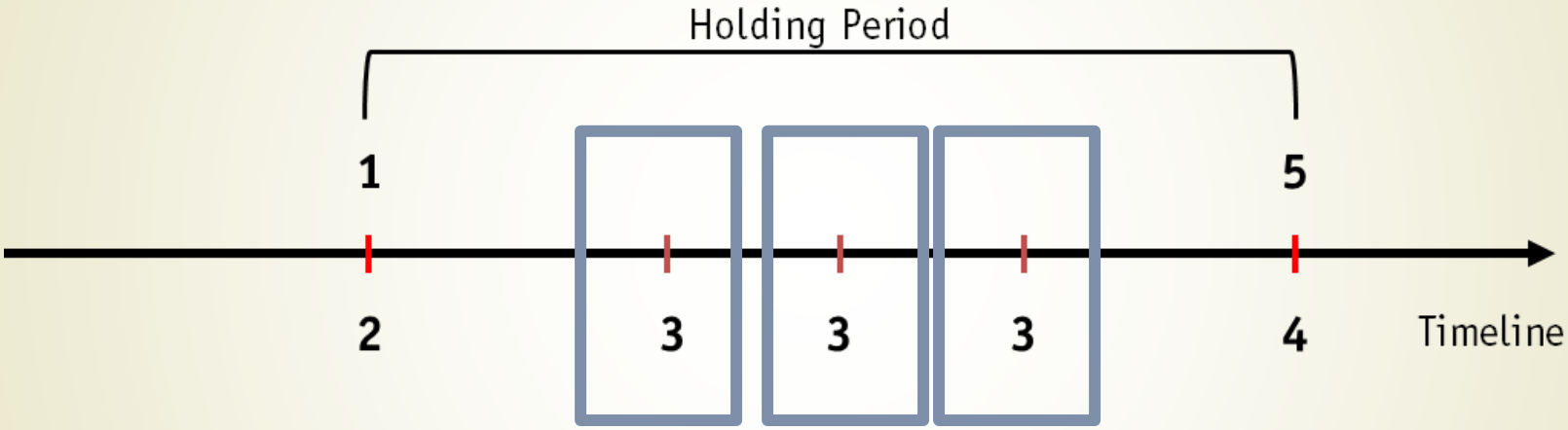
Average cumulative abnormal returns around the initial filing date or the first press disclosure date of engagements, market model adjusted. The event window is (-20, +20) days, where day zero corresponds to the filing or press disclosure date. Factor loadings are estimated over 250 trading days preceding the event window, using country-specific domestic market returns, with a minimum of 150 daily observations (1,617 out of 1,740 sample deals have sufficient data). Also shown is abnormal trading activity in the target's equity during the event window, where trading activity is abnormal share turnover calculated relative to average turnover during 250 trading days preceding the event window.

Abnormal returns from activist engagement announcements, by region



Large abnormal returns in all jurisdictions

Performance: measure share price reaction to engagement outcomes



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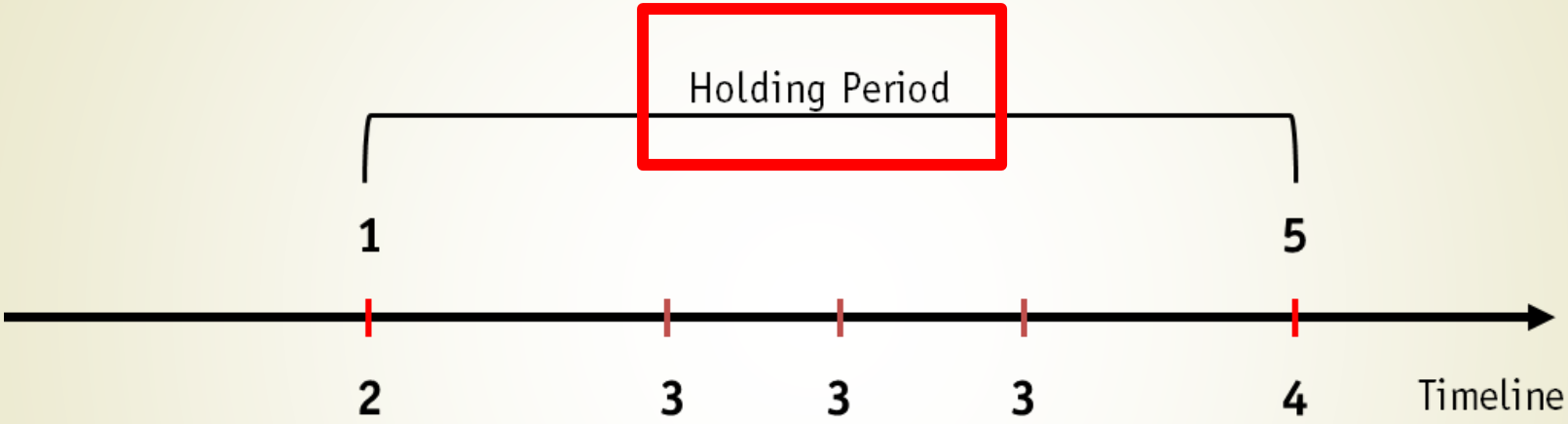
Abnormal returns from engagement outcomes, (board change, restructuring takeover)

	Event window: (-10,10)			Event window: (-20,20)		
	Abn. Ret.	Sign.	*N*	Abn. Ret.	Sign.	*N*
All outcomes	6.33	***	850	6.42	***	850
Board	4.04	***	272	4.48	***	272
Payout	1.42		134	-0.16		134
Restructuring	5.74	***	118	5.60	***	118
Takeover	9.33	***	187	9.73	***	187
Multiple*+Takeover	18.3	***	58	18.1	***	58
Multiple*+NoTakeover	7.46	***	81	9.04	***	81

** Deal generates multiple outcome types*

Average abnormal return: 6.3-6.4% over 21 day & 41 day windows around announcement
Largest abnormal returns: Multiple + Takeover 18.1-18.3% Smallest abnormal returns: Payout (0.2)-1.4%

Long-term performance



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With outcomes: significant alpha; but without outcomes no alpha (over the entire engagement period)

- Annualized alphas

Engagements with outcome v no outcome

Panel A: Equal-weighted returns	Engagements with outcomes		Engagements with no outcomes		L/S (Outcomes-NoOutcomes)	
	MktModel Alpha (1)	Carhart Alpha (2)	MktModel Alpha (3)	Carhart Alpha (4)	MktModel Alpha (5)	Carhart Alpha (6)
Full sample	8.399**	1.104	-5.513	-9.750***	13.912***	10.854***

Panel B: Value-weighted returns	Engagements with outcomes		Engagements with no outcomes		L/S (Outcomes-NoOutcomes)	
	MktModel Alpha (1)	Carhart Alpha (2)	MktModelAlpha (3)	Carhart Alpha (4)	MktModel Alpha (5)	Carhart Alpha (6)
Full sample	11.254***	7.987**	3.999	2.325	7.255	5.662

Multiple activists hold stakes in the same target, often called a 'wolf pack'.

Wolf packs…

- control **larger stakes** in the target (13.4% vs 8.3%)
- have **higher probability** of achieving an outcome
- engagements **more profitable: Announcement returns are 13.8% vs 6.3% for single engagements**
- How do they coordinate? 'Through howling'
- If they coordinate closely must register with the SEC as a 'group' and as a 'concert party' in Europe. Stakes are combined for regulatory purposes
- Individual members of the group cannot trade shares independently.

Why activism can be controversial

- Activism may create costs for both the company & other stakeholders
  - Some evidence that debtholders can lose out
- Activist pressure may influence managerial behavior
  - May encourage short termism
  - There are spillover effects to activism: encourageS other firms to improve to avoid activist
  - Companies with high probability of being targeted respond & improve efficiency to deter activism

How should companies prepare for an activist shareholder?

- ‘Activist investors lead a quiet revolution’ (Financial Times)
- Anticipate the activist
  - Monitor & refresh the board
  - Analyse your performance. Is there a sum of the parts discount?
  - Talk to shareholders
  - Active succession plan for key executives
  - Promote director share ownership.
  - Poison pills (super shareholder majority if board opposes transaction) but often unpopular with shareholders.
  - See Cooley M&A 2023 Activism in Review

Conclusions

- There are similarities across countries
  - Activism has gone mainstream
  - Activism seems to improve shareholder value
  - Activism performance crucially depends on outcomes
- Results suggest a significant role for shareholder activists in value-creating governance changes around the world
  - Activists reducing need for market for corporate control
  - Private activism important but you don't see it
- How active are mainstream institutional shareholders?
  - We cannot rely just on shareholder activists to engage
  - They are costly.